

Evergreen principles for liquidity sleeve management

Published: FEBRUARY 4, 2026

Source: <https://www.franklintempleton.com/articles/2026/alternatives/evergreen-principles-for-liquidity-sleeve-management>

Extraction method: selenium

Evergreen principles for liquidity sleeve management

George Stephan

COO - Global Wealth Management Alternatives

As the adoption of evergreen private market funds continues at speed, alongside the emergence of an increasing number of new entrants, investors should place focus on liquidity management and how managers are able to return capital to investors when required. Investors and their advisors know that they are gaining exposure to illiquid asset classes, which have a long investment horizon, but an evergreen structure is built around having a level of perceived certainty for accessing capital.

Providing liquidity to investors while investing in private markets requires careful product design and portfolio management due to the potential tension between an investor's liquidity expectations and a manager's ability to sell or exit underlying assets to provide the required cash (a liquidity mismatch).

In this paper, we focus on the construct of the "liquidity sleeve" or "liquidity bucket" within evergreen funds, how design matters, and some of the key considerations.

In evergreen vehicles, fund managers look to include terms in fund documents that set out clear guidance on:

how investors can access their capital.

the frequency at which they can do so.

the amount they can access.

These terms typically include an initial soft lock of 1-2 years (where redemptions during this period are subject to a charge), monthly subscriptions and periodic redemptions with a percentage limit. These mechanisms allow for the manager to build and maintain a consistent, diversified private asset exposure which provides two potential benefits.

Investor confidence hinges on managers' ability to effectively navigate liquidity challenges and be consistent throughout market cycles. In our opinion, the liquidity sleeve is a crucial component of this endeavor, and its design and management warrant careful consideration for investors and their advisors. By dynamically adjusting the sleeve composition in response to market conditions and fund structure, managers can strike a vital balance between accessibility and performance—a nuance that is increasingly important in the evolving private market landscape.

What are the risks?

All investments involve risks, including possible loss of principal.

Investment strategies involving Private Markets (such as Private Credit, Private Equity and Real Estate) are complex and speculative, entail significant risk and should not be considered a complete investment program. Such investments viewed as illiquid and may require a long-term commitment with no certainty of return. Depending on the product invested in, such investments and strategies may provide for only limited liquidity and are suitable only for persons who can afford to lose the entire amount of their investment. Private investments present certain challenges and involve incremental risks as opposed to investments in public companies, such as dealing with the lack of available information about these companies as well as their general lack of liquidity. There also can be no assurance that companies will list their securities on a securities exchange, as such, the lack of an established, liquid secondary market for some investments may have an adverse effect on the market value of those investments and on an investor's ability to dispose of them at a favorable time or price.

WF: 7565109

CONTRIBUTORS

Jake Williams

Global Co-Head of Alternatives Wealth Management Product

Arthur Thomson

Global Alternatives Product Strategy Specialist

Related Content

Private Markets Insights: Not a simple open and closed case

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider "ESG" as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA and Chartered Financial Analyst are trademarks owned by CFA Institute.